

“During the corona period, we adopted work from home, online meetings, video conferences and developed many such systems. Today, the need of the hour is that we restart those practices”

Prime Minister Narendra Modi

deficit, the largest component of the CAD, rose from $148 billion (Rs 14.2 lakh crore) in 2013-14 to nearly $300 billion (Rs 28.8 lakh crore) in FY26.

The rise in the value of gold imports, from $34.6 billion (Rs 3.3 lakh crore) in FY21 to $72 billion (Rs 6.9 lakh crore) in FY26, compounded the pressure. Foreign portfolio investors, too, have sold Rs 2.2 lakh crore worth of equities already this year, compared with Rs 1.7 lakh crore in all of 2025. Net foreign direct investment had been in the red for six consecutive months till February. Modi reinforced his concerns during a speech at The Hague. “This is turning into a decade of disasters for the world,” he said, citing the pandemic, wars and energy shocks. Unless conditions change, he warned, “achievements of the past many decades would be washed away.”

THE COMING STORM

Not all of India’s economic problems stem from the West Asia crisis. Weak manufacturing, sluggish merchandise exports, low private investment and persistent job concerns predate the crisis. Geopolitical shocks have only intensified these. Congress leader Rahul Gandhi seized on Modi’s remarks to warn of deeper trouble. Speaking in Raebareli, he said: “An economic storm is on the way. Their Adani-Ambani structure will not last much longer; it will collapse. What is unfortunate is that the common man will

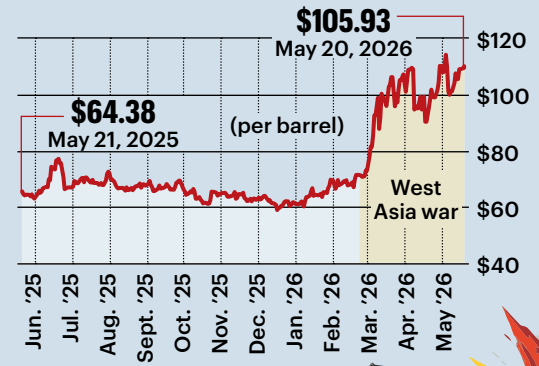
76%

JUMP IN COMMERCIAL LPG PRICES
to Rs 3,071.50 for 19-kg cylinders in Delhi since the West Asia war

BRENT CRUDE

PRICE OF CONFLICT

Rising geopolitical tensions push oil prices to multi-year highs worldwide

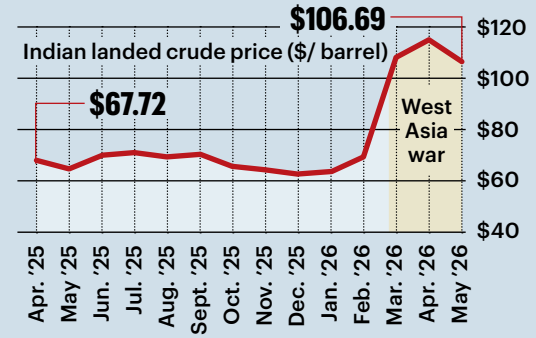


Source: Oilprice.com

OIL IMPORT

CRUDE SHOCK

How India’s crude oil import cost has surged after the West Asia war



The Indian basket represents a derived basket comprising sweet grade (Brent dated) and sour grade (Oman & Dubai average) of crude oil imported by refineries during each month. Prices are average of daily prices of the respective month. Source: PPAC

Graphics by TANMOY CHAKRABORTY

suffer.” The debate intensified after banker Uday Kotak issued a stark warning at a Confederation of Indian Industry event in New Delhi. “The shock is coming and it’s coming big,” he said. Countries, he argued, should avoid “living beyond their means” and prepare for difficult times before the crisis fully arrives.

The pressure is already telling on the rupee. India’s widening external deficit has pushed the currency to around 96 against the dollar, with analysts warning it may breach the psychological barrier of Rs 100 if the West Asia crisis continues. The Reserve Bank of India has intervened by selling dollars. But that comes at a cost—foreign exchange reserves